

balance sheet should start emerging because 500 days is more than a year and, by that time, you should have a balance sheet that speaks for itself. It's not the scale of the balance sheet, or how large the balance sheet is, but how robust it is."

By this time, the founding team members must also be clear about their role and where they should aim to take the company. Ticking off boxes of some of the goals that a startup should hit in a stipulated time can provide a clearer and better picture of how the future would look like for the company. While not achieving them doesn't mean the startup is doomed, it shows how well the benchmark is set.

Ray adds, "There must be some predictability that if you do this particular task then the probability of hitting this goal is high. A lot of people talk about success, but if you do not have the right parameters, then it is difficult. You need to be very clear about what you're looking for because if you miss that, the test board itself is wrong and you will keep thinking you are going the right way even when you aren't."

Ray notes that after the first 500 days, a startup should be essentially ready to scale up. But to reach that stage, it is important to have a sufficient cash flow that will help it survive the initial 500 days.

However, scaling up a startup is easier said than done. A startup usually begins and survives its initial stage through bootstrapping and the founders' own capital. Scaling up usually requires funds on a much larger scale. "The game of scaling up is very different from the game of starting up and proving your product's worth," notes Ray. Here is where the knowledge of a mentor or incubator comes in handy.

Accelerators and incubators

Investors, venture capitalists (VCs), accelerators, and incubators play a significant and influential role in startup ecosystem. They are the backbone of startups, providing a lot of grounding and mentoring to get access to the market.

Investors have an undoubtedly wide network, definitely much wider than any budding entrepreneur can boast of. They get exposed to various VCs, embassies, and government pro-

jects that gives them access to awards, funding, and grants, and opportunities to showcase the product. Their access to various trade commissions and embassies helps in showcasing startup projects in those countries and enter those geographies.

Creating a perfect proposal for investors can be tricky, but it need not be. Shastry wants the startups to remember regarding the investors, "If they see that the team is strong and the credentials of the team are relevant to what is being solved, then that is something that they definitely look for. The moment the investors see that both the team and the ability for execution and pivoting towards the problem solution is strong, they fall in love with such types of startups."

In spite of all this, there are very few startups that actually end up getting funds from VCs and incubators, and the competition has become even more rigid post-Covid. However, there is no reason to be disheartened if an investor rejects you. At no point in time does getting into an incubator defines your success or failure.

Jayaraju, in response to the situation above, reassures, "I think the best thing about VCs is that the more they reject you, the more you tend to refine your proposition and make your business model even more successful. You never know if you're gonna be successful after the first pitch or the sixtieth pitch, but by asking the right kind of questions, you can still add value. Even if they don't fund you, most of them are open to giving you suggestions, and they are more than happy to help you connect with other people."

In support, Ray concludes, "Sometimes a startup journey can be a very lonely one and may seem like you're just sitting as a frog in a well. It is the incubators, accelerators, and VCs who ensure that you don't remain in that well but also go out and see what is going on around the world, because they are meeting multiple people like you across the industry. They can give you that reality check and sometimes be the nudge that puts you on the right path."

Apart from that, they also look into things like validation core, crowd infrastructure, as well as technology infrastructure. It's not possible for a hardware startup to have huge

infrastructure right away, which is why being part of an incubator is so valuable.

The bad and the ugly

Creating anything of your own is as exhausting as it is exhilarating. Every successful startup is the result of the sweat, blood, and tears poured into it by its founders. As inspirational as it sounds, sometimes a lack of cushioning, either financially or emotionally, can do more harm than good. This is more so in present times where startups are evolving every day and it is getting increasingly difficult to set yourself apart.

"A lot of entrepreneurs and founders are exploiting themselves. They are working without taking a break, not being paid salaries, not taking care of themselves nor the people around them. What they're doing is they're just killing themselves, which they shouldn't," notes Shastry.

Even so, Jayaraju argues that too much cushioning can also have an adverse effect such as complacency. "You do not need to be self-exploitive but at the same time, unless there are sacrifices made or there is sole devotion to a certain cause, you may not end up making great products or solutions, because you have a backup. So, the answer really lies in questioning yourself: How much risk are you willing to take?"

The formula for creating a successful startup has not changed much post-pandemic. However, the importance of building a robust product or solution as a tech startup has never been made clearer. With the future looking bright for startups, the founders need to find the middle ground between their passion, customers, and what would make money.

In conclusion, Ray states, "The startup founder is 'a buck stops with me' journey. You and the founding team are alone, and once you let that seep into your flesh and blood with added thick skin, you are mentally ready whatever the time may be." **EFY**

The article is based on the panel discussion 'Idea To Startup: How To Do It?' presented at September edition of Tech World Congress 2020. It has been prepared by Siddha Dhar, a business journalist at EFY.